



CASE STUDY · PORTFOLIO EDITION

Contested Legitimacy in Indonesian Zakat Governance

A qualitative case study of state—private competition

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MY ROLE

Sole researcher and author: research
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PROGRAMME

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Cover: the author teaching the contrast between a society built on interest and one built on giving.

The case in one page

THE QUESTION

How does competition between state and private institutions shape the mobilisation of zakat in Indonesia?

THE ANSWER IN BRIEF

What the two sectors are really competing for is **legitimacy**: the recognised right to define and distribute communal virtue. Twelve sources — nine documents and three practitioner interviews spanning the state regulator, an established national LAZ and a digital-first newcomer — show that legitimacy is contested at the level of **authority**, underwritten by **trust**, increasingly earned through **digital transparency**, and blocked from being shared by **incompatible visions of co-governance**.

The dispute reached the Constitutional Court in 2024 (Case No. 97/PUU-XXII/2024), and even the state side confirmed the concentration of roles the petitioners contest. Further centralisation is therefore unlikely to settle it. A co-governance model can — if the state gives up its operator role and private actors accept proportionate oversight.

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12

data sources: 9 documents and 3 practitioner interviews

4

themes derived inductively from ~32 open codes

69%

of Muslim givers still prefer to give directly, not through institutions (IDEAS, 2025)

<5%

of cash-based ZISWAF transactions happen online (national survey, 2026)

What this study contributes

- 1 **Extends Fauzia's (2013) state–religion dialectic** into the present: civil society's historical self-defence now runs through constitutional litigation and digital practice.
- 2 **Introduces *digital legitimacy***: credibility earned through real-time transparency rather than conferred by legal status.
- 3 **Reframes co-governance** as a contest over incompatible end-states, and names the one concession any settlement depends on.

WHY IT MATTERS

Indonesian Muslims give an estimated **Rp343 trillion** a year in zakat, infaq, sadaqah and waqf (preliminary national estimate, 2026), yet most of it moves informally and offline. Whichever institutions convert that giving into trusted formal channels will shape the sector's next decade. This case is about who earns the right to do so.

01 PROJECT OVERVIEW

A pillar of welfare, contested from two sides

THE PROBLEM

Zakat is the most institutionalised pillar of Islamic philanthropy in Indonesia, the world's largest Muslim-majority society. It has never been only an act of worship; it is a redistributive mechanism that has historically buffered poverty and held communities together.

As the state extended its reach into religious affairs, zakat became contested ground. Law No. 23/2011 made the National Zakat Agency (BAZNAS) the national coordinating authority, with private Amil Zakat Institutions (LAZ) required to seek accreditation and report to it. Yet private institutions such as Dompot Dhuafa, Rumah Zakat and Inisiatif Zakat Indonesia kept growing — often outperforming state bodies on public trust, innovation and fundraising.

The friction is not only administrative. Many scholars and civil-society leaders hold that zakat, as *ibadah maliyah*, should stay voluntary and spiritually motivated, and warn that over-bureaucratisation risks turning it into a quasi-tax.

“Quietly like competition — not balanced, because one is a player, while the other plays double: a player who is also the referee.”

Fundraising director, national LAZ (interview D5b)

THE GOALS

Overarching question

How does competition between state and private institutions shape the mobilisation of zakat in Indonesia?

- SQ1** How do legitimacy and public trust shape muzakki preference between state and private channels?
- SQ2** How is digital transformation altering the balance of competition between the two sectors?
- SQ3** Under what conditions might the sector move from fragmentation toward co-governance?

THE CONTEXT

The contest is old. Before the state took an interest, zakat was administered bottom-up by ulama, kyai and community institutions on personal trust. Colonial regulation first curtailed that autonomy; after independence the state reframed philanthropy as a development resource.

The relationship is not purely adversarial: state and private actors have worked together in national emergencies, including joint disaster response and co-branded campaigns during COVID-19 — a sign that a hybrid model may be viable.

ONE CONSTRUCT UNDER EVERY THEME

Legitimacy — *the recognised right to define and distribute communal virtue* — is what is at stake. Trust underwrites it, digital transformation earns it, and co-governance would redistribute it.

How the contest took shape

A century of state intervention in zakat, read as Fauzia (2013) reads it: a shifting relationship in which state and religious civil society gain ground as the other recedes.



Figure 1 · Infographic. Timeline of zakat governance in Indonesia. Gold markers show the two turning points the study treats as decisive: the 2011 consolidation and the 2024 constitutional challenge. Sources: Fauzia (2013); Republic of Indonesia (2011); Mahkamah Konstitusi RI (2024); Zaari et al. (2025).

02 RESEARCH & INSIGHTS

Where the money goes — and where trust decides it

Two national datasets frame the competition. Read together they show a pool that is still mostly informal and offline, and a segment of givers who move only when they see transparency.

Most Muslim givers still bypass institutions

Share of givers by preferred channel



■ Give directly (beneficiaries, mosques, musholla) — ~69%

■ Through formal institutions — ~31%

Source: IDEAS & Dompot Dhuafa (2025), donor-behaviour policy brief.

Giving remains overwhelmingly face-to-face

Share of cash-based ZISWAF transactions by channel



■ Face-to-face — >95% ■ Online — <5%

Source: Social Trust Fund UIN Jakarta et al. (2026), n = 8,360; preliminary release. Bars show the reported thresholds.

The two largest donor segments

Share of Muslim donors



Source: IDEAS (2025). "All other segments" is the remainder of 100%.

What would move them to institutions?

~40%
of informal givers

Transparency and accountability — the most cited answer. The preference for direct giving is pragmatic, not merely traditional, and the "Skeptical" segment reads an institution's reports and channels before giving at all.

Source: IDEAS (2025).

Figure 2 · Data visualisation. Donor behaviour and channel data. Gold marks direct or offline giving; blue marks institutional or online giving; grey is the remainder. Values are shown on every bar, so colour is never the only cue.

INSIGHT

The pool has not moved online, but the segment institutions most want — younger and institutional donors — is moving first. The contest is live precisely because most giving is still up for grabs, and **trust, not religious motivation, is what unlocks it.**

Three debates, three gaps

Recent scholarship converges on three lines of argument. Each leaves a gap, and each gap became one arena of the analysis.

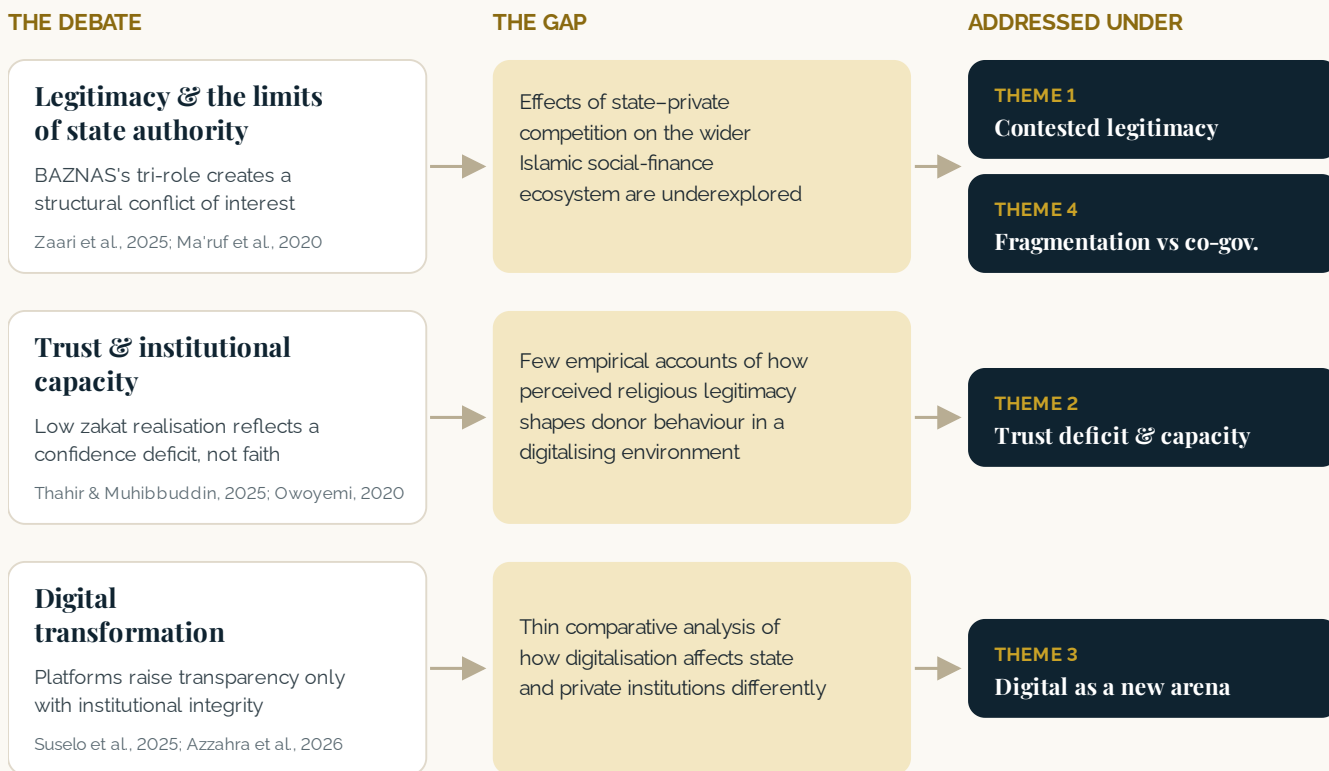
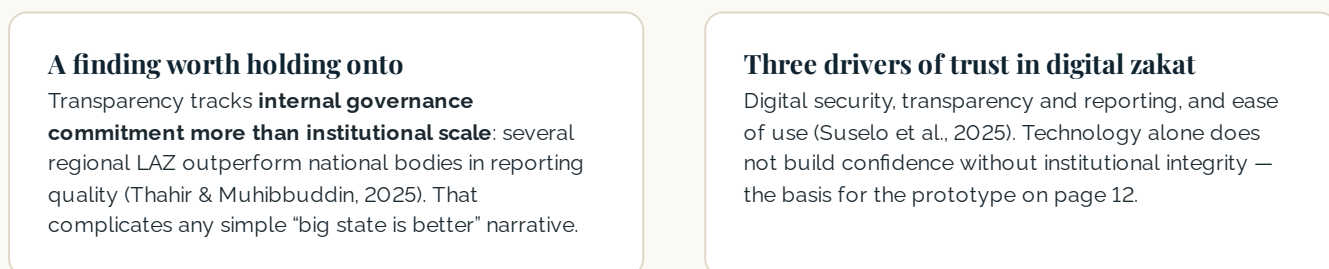


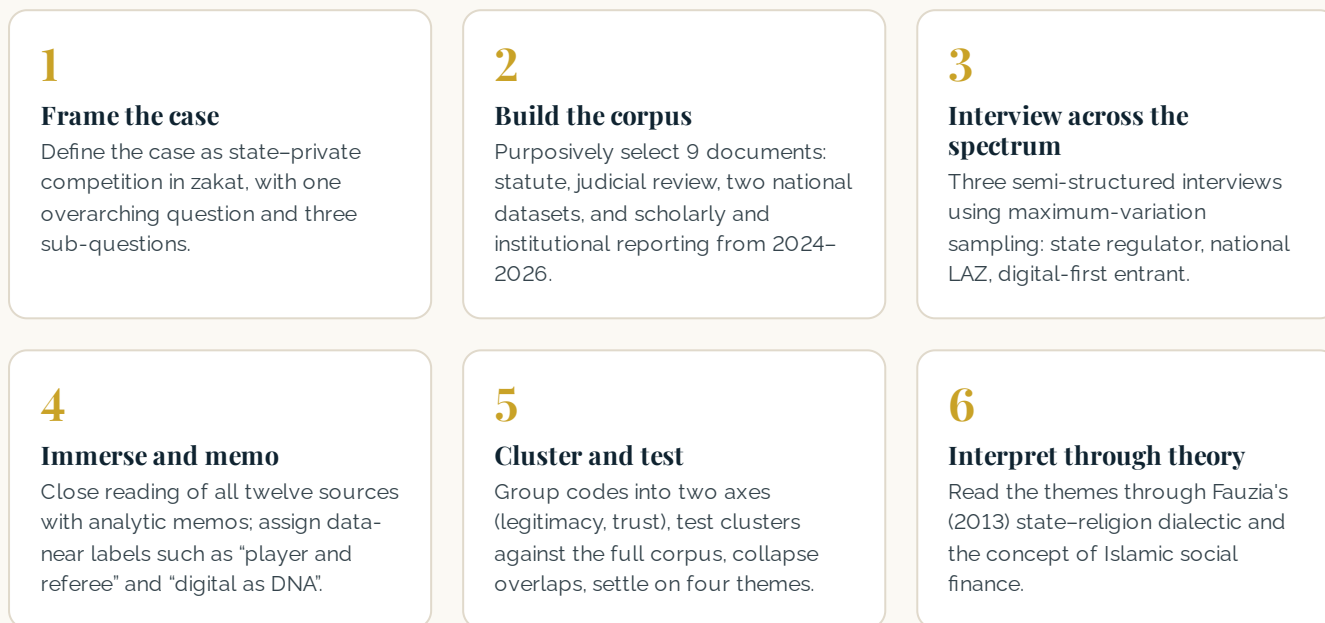
Figure 3. From literature to analysis: each debate exposes a gap, and each gap maps to one of the study's four themes.



03 PROCESS

From twelve sources to one construct

A qualitative case-study design: document analysis (Bowen, 2009) as the primary method, triangulated against three semi-structured practitioner interviews, and coded inductively in the reflexive thematic tradition (Braun & Clarke, 2006).



The coding funnel

Categories were an outcome of the analysis, not imposed in advance. Documents and interviews were treated as two bodies of evidence that jointly build each theme — not as one illustrating the other.

Two candidate themes overlapped and were collapsed during testing. What remained — legitimacy, trust, digital, co-governance — turned out to be four facets of a single object.

“BAZNAS acts first as regulator; second as auditor; and third as operator.”

Former provincial BAZNAS head and commissioner (interview D5a) — an example of a data-near code

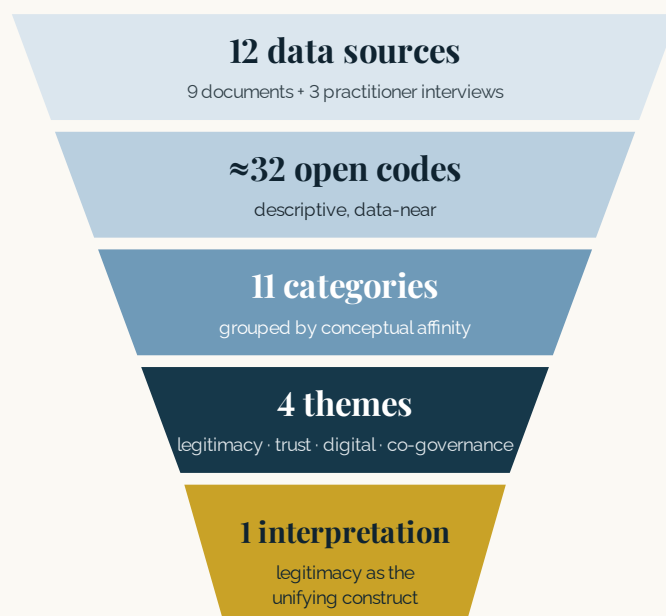
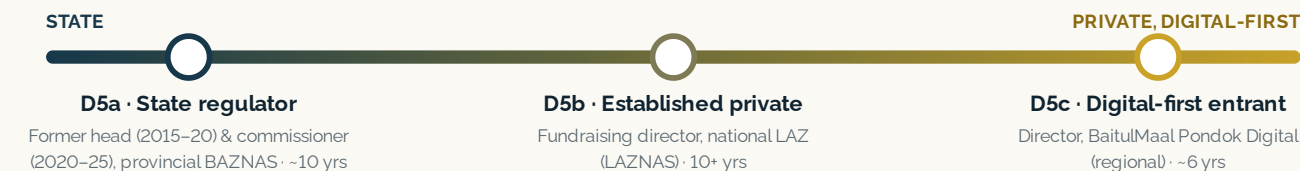


Figure 4 · Infographic. The inductive coding funnel, redrawn from Figure 1 of the graded manuscript.

Who was heard, what was read

Maximum-variation sample

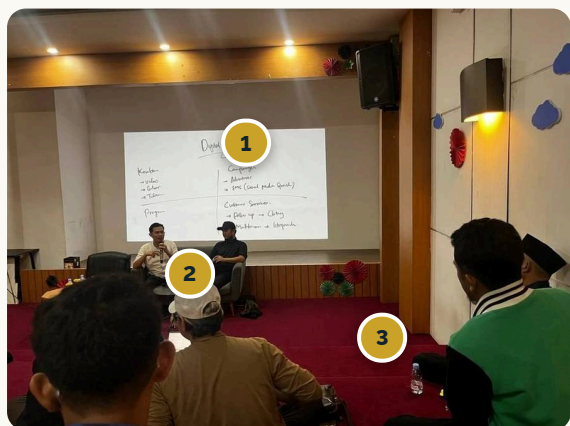
Three practitioners chosen to span the competition, not to mirror its distribution.



D5a and D5b requested anonymity and are identified by role only; D5c consented to be identified in his professional capacity.

The documentary corpus

Code	Source	Type	Year	Used for
D1	Law No. 23/2011 on Zakat Management	Statute	2011	Legitimacy; fragmentation
D2	Constitutional Court Decision No. 97/PUU-XXII/2024 (in Zaari et al.)	Judicial review	2024–25	Contested legitimacy; co-governance
D3	Potret Kedermawanan Muslim Indonesia — IDEAS / Dompot Dhuafa	Policy brief	2025	Trust; digital; donor behaviour
D4	Potret dan Perilaku ZISWAF — national survey, 8,360 respondents	Survey	2026	Scale; digital adoption
D6	Inclusive Zakat Governance — hybrid model, Malaysia comparison (ICIEB)	Conference paper	2025	Co-governance
D7	Governance challenges of zakat institutions (Thahir & Muhibbuddin)	Journal article	2025	Trust; capacity
D8	Digital transformation in zakat management (Azzahra et al.)	Journal article	2026	Digital transformation
D9	Public trust in digital zakat (Suselo et al.)	Journal article	2025	Trust; digital adoption
D10	Islamic Philanthropy — state–religion framework (Fauzia)	Monograph	2013	Theoretical anchor



Annotated: the researcher's vantage point

- 1 Channel architecture on the board.** Content, campaigner and customer service — the practitioner lens that sharpened SQ2 on digital transformation.
- 2 The author in practice,** leading a digital fundraising clinic. He holds a role at BPD, the institution of interviewee D5c.
- 3 The audience is the object of study:** fundraisers from LAZ and mosques. To limit insider bias, every theme was anchored in documents and state and private accounts were weighted equally.

04 FINDINGS

Four themes, one contest

THEME 1

Contested legitimacy: state authority versus religious voluntarism

Statute, court and practitioners now describe the same fact — and divide over its meaning. The state side lists BAZNAS's three roles as a plain legal duty; the private side calls the same structure a conflict of interest.

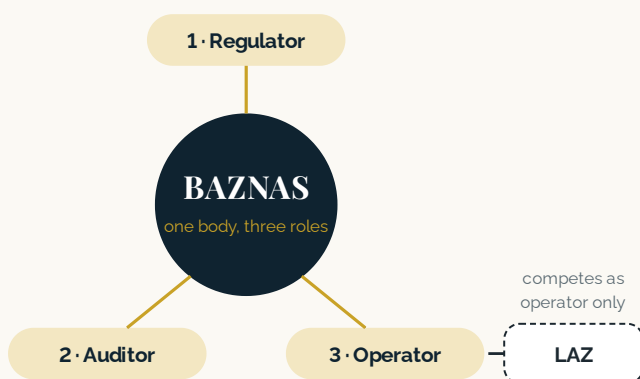


Figure 5. The tri-role at the centre of the 2024 judicial review.

“A player who is also the referee.”

Fundraising director, national LAZ (D5b)

The contest is old, and the practitioners place themselves in it. The zakat law “first emerged from us, the private activists who pushed for it to be born,” said the national LAZ director — only to be interpreted “too rigidly by the regulator.” The digital-first director described surviving centralisation by being “more creative” within three obediences: to regulation, to sharia, and to ethics.

Evidence

D1 Law 23/2011

D2 Judicial review

D10 Fauzia

D5a

D5b

D5c

READING

Statute, court and practitioner converge on the same fact and divide over its meaning — **a mandate to one side, a conflict of interest to the other.**

THEME 2

Trust deficit and institutional capacity

All three practitioners named capacity as the fault line — “the capacity of the institution itself” (D5a); “positioning, human resources, governance” (D5b); building and holding a reputation (D5c). Where they part company is on **how trust is earned**.

STATE · CONFERRED

“Plat merah ... more guaranteed in terms of legality, and therefore trustworthy.”

D5a — legitimacy rests on official status

PRIVATE · EARNED

“Its programs, their relevance, and their impact.” · “Promising only within our capacity, and keeping that promise.”

D5b · D5c — legitimacy must be re-earned continuously

The donor evidence explains why this matters: the preference for direct giving is pragmatic, anchored in transparency and accountability (IDEAS, 2025). Better state marketing cannot close a gap that is about demonstrated performance.

READING

Trust is the **social capital that underwrites legitimacy** — accumulated through clean, community-focused service, not conferred by legal privilege.

Evidence

D3 IDEAS 2025

D7 Thahir & Muhibbuddin

D9 Suselo et al.

D5a

D5b

D5c

What the literature adds

Leadership posts in government zakat bodies are sometimes filled by appointees without grounding in philanthropy or Islamic finance, producing policy that is bureaucratic and detached (Thahir & Muhibbuddin, 2025). Transparency tracks internal commitment more than size.

THEME 3

Digital transformation as a new arena of competition

The practitioners agree on the scale of the shift and differ on their readiness for it.

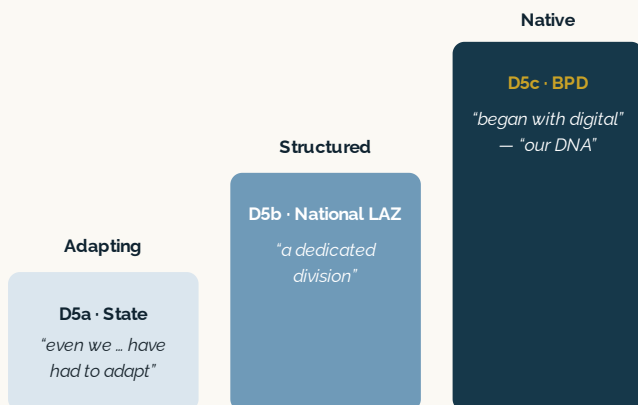


Figure 6. Digital readiness across the sample, as the practitioners describe their own institutions.

"Not connected to digital will inevitably be pushed to the margins."

Director, BaitulMaal Pondok Digital (D5c)

The risks each side names are telling: "accountability, reporting, and speed of response" (D5a); online trust that, mishandled, "can become a boomerang" (D5b). Technology closes the legitimacy gap only when paired with genuine transparency.

Evidence D3 IDEAS 2025 D4 ZISWAF survey D8 Azzahra et al.

D9 Suselo et al.

D5a–c

READING

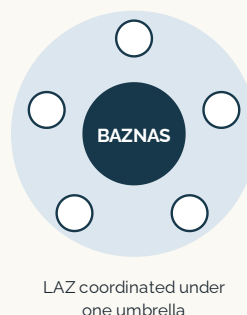
Digital is the decisive frontier among institutional and younger donors, even as the national pool stays offline. **Whoever converts offline, informal giving into trusted formal channels will define the sector's next decade.**

THEME 4

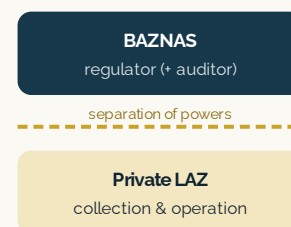
Fragmentation and the potential for co-governance

Everyone endorses collaboration in the abstract. The interviews show why it keeps stalling: **the two sides want different end-states.**

STATE'S IDEAL · CENTRIPETAL



PRIVATE IDEAL · SEPARATION



"Everyone obeys the rules." — D5a

"The state must begin to act as a pure regulator." — D5c

Figure 7. Two incompatible destinations. What the state offers as coordination is the entanglement of roles the private sector is trying to escape.

COMMON GROUND

Both sides name the same deepest problem: "maintaining public trust amid pessimism" (D5a) and "building the ummah's optimism" (D5b). Legitimacy is the currency on every side.

Evidence

D1 Law 23/2011

D2 Judicial review

D4 ZISWAF survey

D6 ICIEB hybrid model

D5a–c

Raw materials for cooperation exist

State and private actors have combined effectively in emergencies, and comparative work reads Indonesia's hybrid arrangement as a source of flexibility, not only friction (Nur Fadhilah et al., 2025). Both private practitioners converged on one prescription: "clarify the government's role."

Evidence chips list the corpus codes (page 8) that build each theme; navy chips are the practitioner interviews.

05 FINAL SOLUTION

A legitimacy framework and a co-governance model

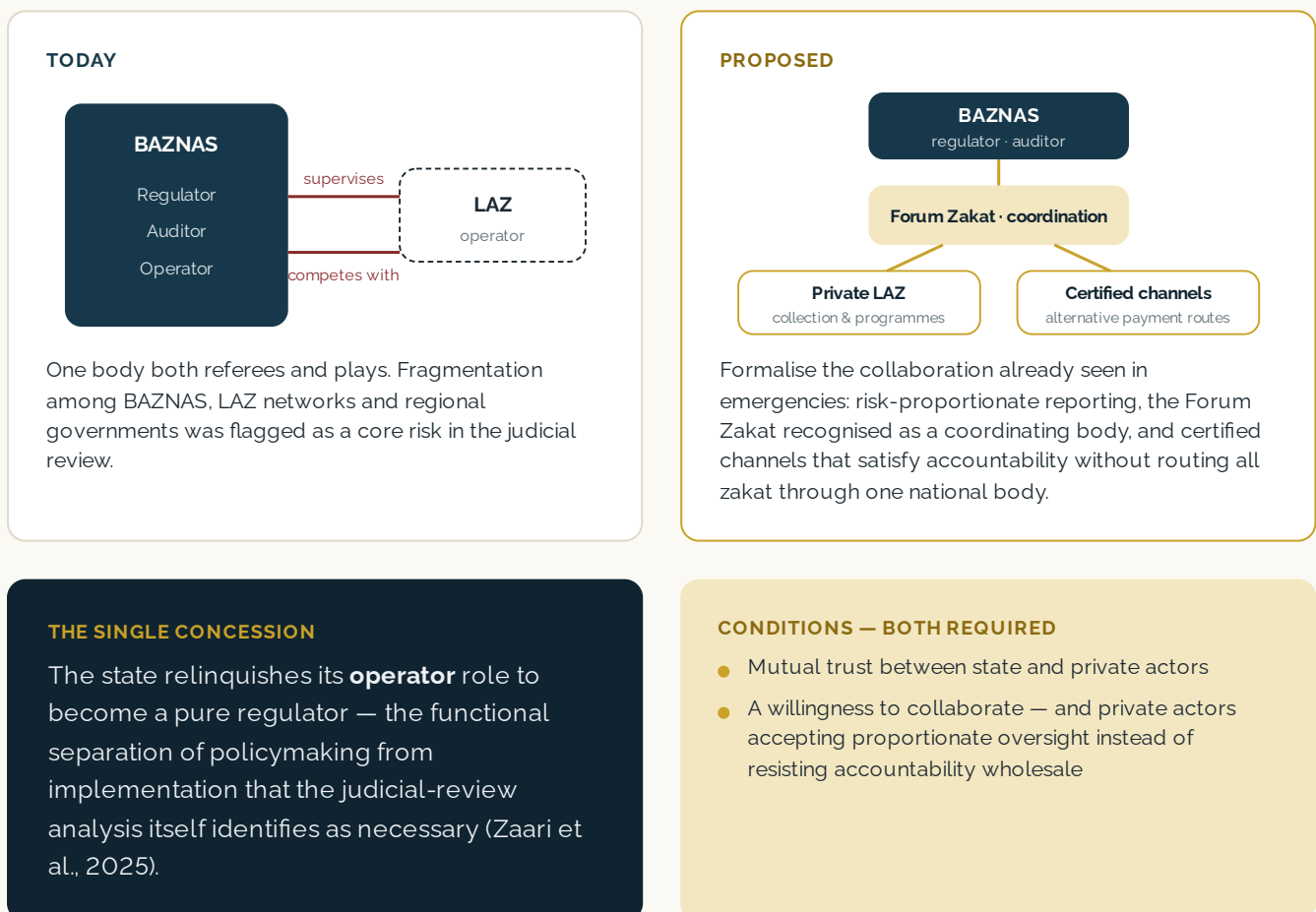
The study delivers two things: an analytic framework that reads the four themes as one object, and a conditional model for moving from fragmentation to co-governance.

Deliverable 1 · The legitimacy framework



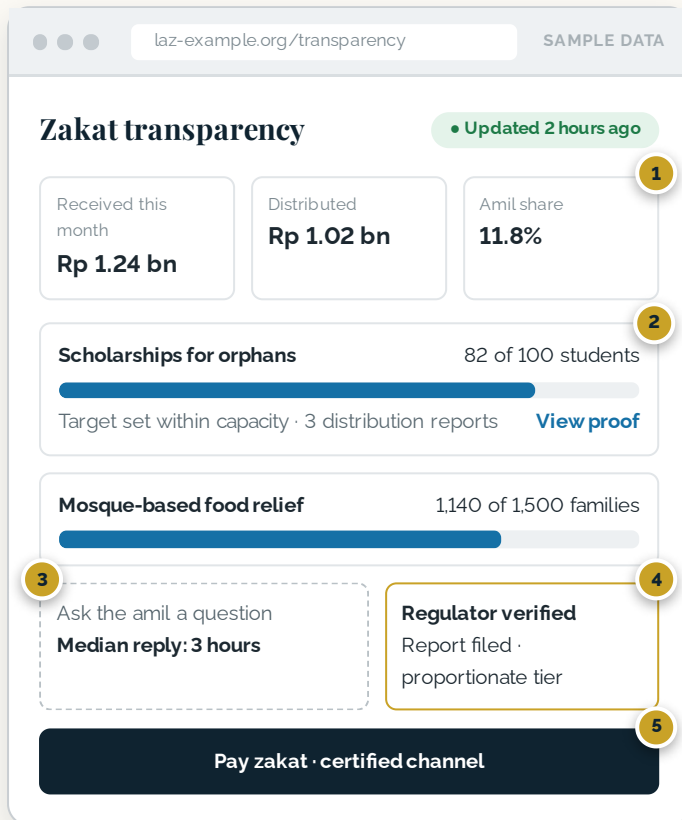
Figure 8. The four themes as four moments of a single contest.

Deliverable 2 · A conditional co-governance model



Making digital legitimacy tangible

A practitioner translation of the findings: what an institution would have to show a donor to earn legitimacy through performance rather than status.



Annotations: from finding to interface

- 1 Real-time ledger.** Transparency and reporting is a core driver of trust in digital zakat (Suselo et al., 2025); ~40% of informal givers cite it as what would move them (IDEAS, 2025).
- 2 Targets set within capacity, with proof.** "Promising only within our capacity, and keeping that promise" (D5c) — legitimacy earned, not conferred.
- 3 Visible response time.** The regulator names "accountability, reporting, and speed of response" as digital fundraising's greatest risk (D5a).
- 4 Proportionate oversight, shown.** The co-governance model's regulator role, made visible to the donor instead of hidden in a filing.
- 5 Certified channel.** Security and ease of use, the other two trust drivers, paired with the model's certified alternative payment routes.

Status of this mockup: an illustrative wireframe derived from the findings, with sample figures. It is not an existing product or a description of any institution's platform.

Figure 9. Annotated wireframe of a donor-facing transparency page. Each numbered element traces to evidence in the study.

Three design principles the findings imply

SHOW, DON'T CLAIM

Evidence over status

Private actors earn legitimacy through demonstrated performance. The page leads with money in, money out and proof — not with credentials.

PROMISE WITHIN CAPACITY

Honest targets

Progress bars that sometimes fall short are more credible than totals that always hit. Trust is kept by keeping promises, not by making large ones.

MAKE OVERSIGHT VISIBLE

Regulation as a trust asset

Under co-governance, the regulator's verification becomes something donors can see — turning oversight from a constraint into a credential.

06 OUTCOMES & REFLECTIONS

What changed in the argument — and what bounds it

OUTCOME 1

The dialectic has moved into the courtroom

Fauzia's account of civil society defending itself against an assertive state still holds, but the defence is now waged through constitutional litigation and digital practice. The state side does not dispute the concentration of roles, only whether it is a mandate or a conflict.

OUTCOME 2

Digital legitimacy, named

Where credibility once accrued slowly through reputation, real-time reporting and direct donor engagement now let newer and smaller institutions establish it quickly. A state sector that innovates slowly risks losing the segment it most needs.

OUTCOME 3

Co-governance as a contest of end-states

The obstacle is not a dialogue deficit. The competitors do not yet share a destination, and any workable model depends on the state relinquishing its operator role.

Limitations I would state up front

- **Document-centric evidence.** Conclusions are interpretive and analytically generalisable, not statistically representative of the sector.
- **A purposive sample of three.** Chosen to span the competition, not to mirror it. It includes no donors, no national BAZNAS or ministry officials, and one institution of each type.
- **Anonymity.** It strengthened candour from two participants but limits the institutional detail that can be reported.

Reflection on my position

I study a field I work in. I hold a professional role at BaitulMaal Pondok Digital, and its Director is one of my three interviewees. That gave me access and fluency — and a clear risk of reading the private sector's case too sympathetically.

I managed it in three ways: every theme had to stand on the documentary corpus first, state and private accounts were weighted equally, and BPD is treated as an illustrative case, not a representative one. The most useful quotation in the study came from the state side: the regulator's own list of BAZNAS's three roles.



- **Where the findings meet practice.** Forums like this bring practitioners from different institutions to one table. The study suggests the harder conversation there is not *whether* to collaborate, but *towards which end-state*.

07 KEY LEARNINGS & NEXT STEPS

What I take forward

Key learnings

1 · Name the construct beneath the themes

Four themes read like a list until you ask what they are all about. Seeing legitimacy under each one turned a description into an argument.

2 · Let the other side confirm the fact

The strongest evidence was a premise both sides accept and interpret differently. Agreement on facts, disagreement on meaning, is where a contest becomes visible.

3 · Pair the macro data with the micro voice

The survey shows most giving is still offline; the interviews show why institutions fear being left behind anyway. Neither source alone would have explained the urgency.

4 · Trust is performance, not status

For institutions like the ones I work with, the practical lesson is to promise within capacity, report in real time, and make oversight visible.

Next steps for the research

1

Widen the interview base

National-level officials and a larger, regionally diverse set of LAZ leaders.

2

Add the muzakki voice

Especially "Skeptical" and "Religious" donors — do their stated reasons match what institutions assume?

3

Compare across countries

Indonesia, Malaysia and Pakistan — how far does the co-governance argument travel?

Figure 10. Research roadmap, from interpretive case analysis toward a more fully evidenced account.

CLOSING

Only through a framework rooted in Islamic ethics, communal responsibility and the practical realities of twenty-first-century governance can zakat fulfil its potential as both a spiritual obligation and an instrument of social justice.

Implications for practice

My practitioner reading of the findings — not claims tested by the study.

FOR THE REGULATOR

Legal authority cannot answer "maintaining public trust amid pessimism." Separating the operator role from regulation is the step that would make oversight credible to private actors.

FOR PRIVATE LAZ

Accept proportionate oversight instead of resisting accountability wholesale. The co-governance model needs both concessions, not one.

FOR DIGITAL TEAMS

Digital earns legitimacy only with integrity behind it. Real-time reporting and fast response matter more than channel reach.

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